Zacks Report Date: March 29, 2026

Axon Enterprise (AXON)

$429.94 (Stock Price as of 03/27/2026)

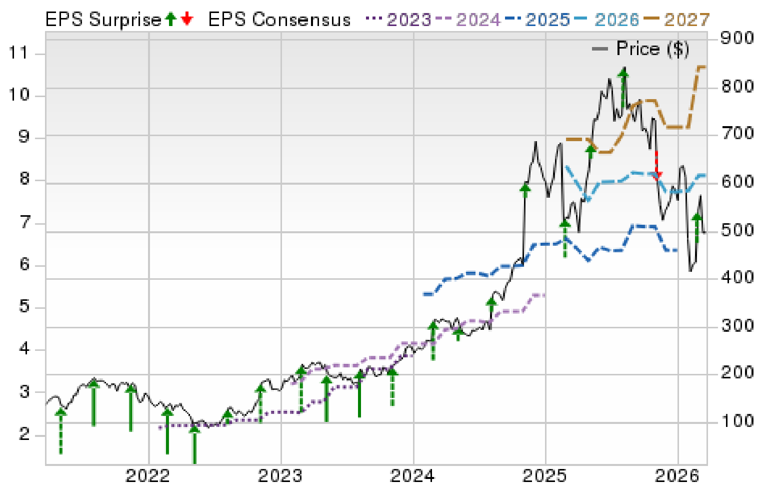
Price Target (6-12 Months): **$605.00**

Long Term: 6-12 Months	**Zacks Recommendation:**	**Neutral**
	(Since: 09/02/25)	
	Prior Recommendation: Outperform	
Short Term: 1-3 Months	**Zacks Rank:** (1-5)	**3-Hold**
	Zacks Style Scores:	VGM: F
	Value: F | Growth: C	Momentum: D

Summary

Axon is witnessing strength across its businesses. Its Connected Devices segment is driven by solid demand for TASER 10 devices, virtual reality training services and counter-drone equipment. Higher adoption of the TASER products has been driving the segment's performance. An increase in the aggregate number of users to the Axon network is aiding the Software & Services segment's growth. Benefits from acquired assets are likely to drive Axon's performance in the quarters ahead. However, escalating operating expenses, due to higher compensation expenses and business integration activities, have been weighing on Axon's performance. Despite the recent signs of easing, lingering supply-chain disruptions are likely to impede the company's growth. Given its international presence, foreign exchange headwinds may be worrying.

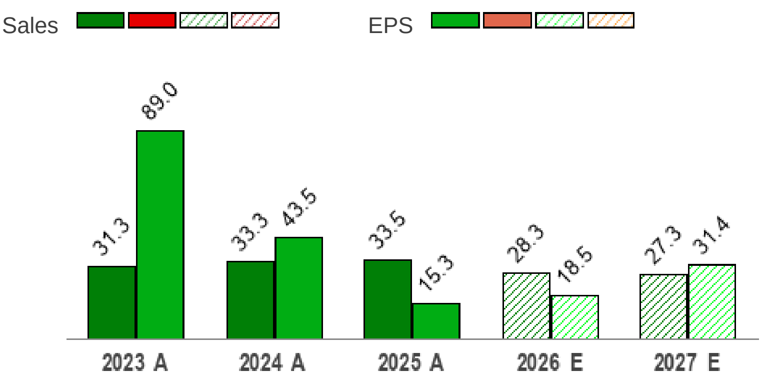
Price, Consensus & Surprise[1]



Data Overview

52 Week High-Low	$885.92 - $396.41
20 Day Average Volume (sh)	859,044
Market Cap	$34.6 B
YTD Price Change	-24.3%
Beta	1.46
Dividend / Div Yld	$0.00 / 0.0%
Industry	Aerospace - Defense Equipment
Zacks Industry Rank	Top 36% (89 out of 244)
Last EPS Surprise	28.7%
Last Sales Surprise	5.7%
EPS F1 Est- 4 week change	12.0%
Expected Report Date	05/06/2026
Earnings ESP	2.9%
P/E TTM	62.8
P/E F1	53.0
PEG F1	2.1
P/S TTM	12.4

Sales and EPS Growth Rates (Y/Y %)[1]



Sales Estimates (millions of $)[1]

	Q1	Q2	Q3	Q4	Annual*
2027	1,003 E	1,088 E	1,167 E	1,287 E	4,539 E
2026	780 E	865 E	916 E	1,019 E	3,566 E
2025	604 A	669 A	711 A	797 A	2,780 A

EPS Estimates[1]

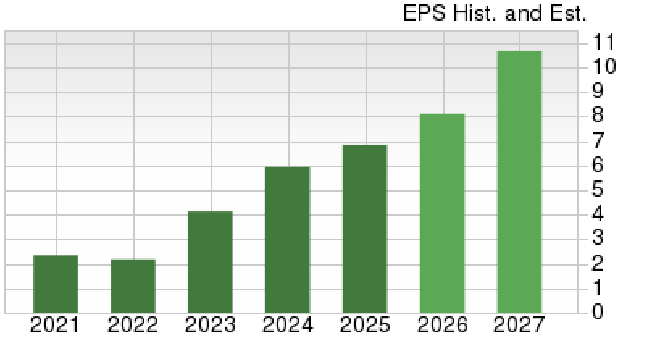
	Q1	Q2	Q3	Q4	Annual*
2027	2.18 E	2.48 E	2.74 E	3.05 E	10.67 E
2026	1.66 E	1.94 E	2.10 E	2.29 E	8.12 E
2025	1.41 A	2.12 A	1.17 A	2.15 A	6.85 A

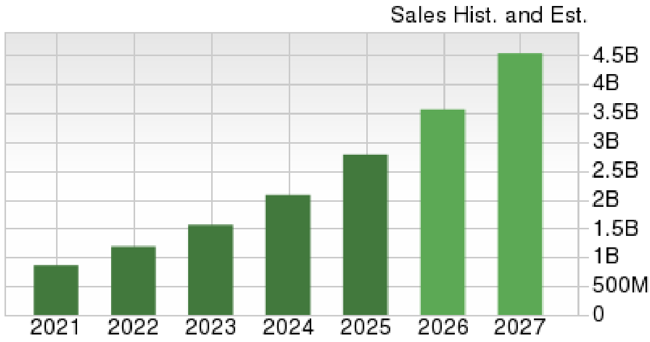
*Quarterly figures may not add up to annual.

(1) The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 03/27/2026.
(2) The report's text and the price target are as of 03/06/2026.

Overview

Headquartered in Scottsdale, AZ, Axon. develops and manufactures weapons for selling to U.S. state and local governments, the U.S. federal government, international government customers and commercial enterprises. Focused on global public safety, Axon's suite of products includes conducted energy devices, body-worn cameras, in-car cameras, cloud-hosted digital evidence management solutions, productivity software and real-time operations capabilities. The company generates the majority of its revenues through direct sales, including its online store. Axon faces strong competition in both its hardware and software markets from companies like Motorola Solutions, Panasonic, IBM and others. On a geographical basis, the company has operations in the United States (83% of 2025 net sales) and other international markets (17%).





As of 03/27/2026

Effective first-quarter 2025, AXON realigned its business segments. The company now reports results under the following two segments:

Connected Devices (56.7% of total revenues in 2025): This segment focuses on the design, production and sale of fully integrated hardware solutions including conducted energy devices (CEDs), body cameras, drones, various accessories and other related hardware products. The CEDs is a weapon system designed to temporarily incapacitate a subject with the help of an electrical current. Devices like the Axon Body 4 are equipped with built-in AI features, including real-time translation and voice-enabled support. The segment also includes Axon Vehicle Intelligence, which uses fixed and mobile video solutions, like Axon Outpost and Lightpost, to deliver license plate recognition and detailed vehicle information. It develops tools, such as TASER devices (energy weapon systems), virtual reality training services and consumer devices, to support public safety officers in de-escalating situations, avoiding or minimizing the use of force and aiding consumer personal protection. These are sold to law enforcement agencies, attorneys, emergency services personnel and the U.S. military.

Software and Services (43.3%): This segment focuses on the development and sale of fully integrated cloud-based software platforms. Key offerings under this segment include Axon Evidence, Records Management System, Draft One and other AI-powered tools. These solutions enable law enforcement to securely store, manage, share and analyze video.

As of 03/27/2026

Reasons To Buy:

> Strength in the Connected Devices and Software & Services units and accretive acquisitions bode well for Axon. Strategic partnerships also hold promise.

- Axon's **Connected Devices segment** is thriving on the back of strong demand for TASER devices. Solid demand for virtual reality training services, TASER 10 handle and counter-drone equipment also supports the segment's growth. Segmental revenues increased 29.1% year over year in 2025. The company continues to witness growing popularity for its next-generation TASER 10 products, whose shipment began in first-quarter 2023. Growth in cartridge revenues, driven by higher adoption of the TASER products, has been driving the segment's performance. Axon introduced its next-generation body-worn camera, Axon Body 4, in April 2023. With upgraded features such as a bi-directional communications facility and a point-of-view camera module option, this body camera is generating significant demand, thus bolstering the segment's growth. Shipment of this body camera began in June 2023 and the customer response has been impressive so far. In 2025, revenues from the company's TASER product line increased 21.8% year over year, driven by TASER 10, while those from the Personal Sensors surged 25.3%, led by Axon Body 4. Also, revenues from Platform Solutions product line soared 72.5%, supported by counter-drone, virtual reality and fleet. Growing instances of terrorism and criminal activities, with concerns related to the ever-increasing fraudulent activities, will augur well for Axon's products in the quarters ahead.

  An increase in the aggregate number of users to the Axon network is aiding the **Software & Services segment**. After witnessing a year-over-year 33.4% jump in revenues in 2024, revenues from the segment increased 39.6% in 2025. Continued momentum in digital evidence management and increased demand for premium add-on features are driving the segment's growth. Adoption of premium subscription plans also continues to rise as more customers recognize the value of enhanced capabilities. Existing customers are consistently returning to purchase additional services, reflecting strong customer satisfaction and engagement. This ongoing expansion supports a growing base of annual recurring revenue (ARR). Given the rising global demand for Counter-Unmanned Aircraft Systems (CUAS), Axon is also expected to witness strong demand for its Dedrone platform from NATO's airspace defense agencies. Strong customer alignment, broader adoption across sectors and continuous product innovation led Axon to issue bullish guidance for 2026. The company expects revenues to increase approximately 27-30% year over year.

- Axon has been strengthening its business through **acquisitions**. In November 2025, the company signed a definitive deal to acquire Carbyne, a well-known provider of cloud contact center technology solutions to public safety agencies. The acquisition will integrate Carbyne's advanced cloud-native 911 technology into the Axon ecosystem to create Axon 911, a state-of-the-art, fully integrated solution that will connect callers and responders instantly. The transaction, valued at $625 million, is expected to be completed in first-quarter 2026. In October 2024, Axon acquired Dedrone, a global leader in airspace security. The inclusion of Dedrone's advanced airspace technology (including radar, radio frequency (RF) and acoustic sensors) boosted Axon's capability to enable customers to protect their communities against drone threats and improve response to critical incidents. Axon is strengthening its position in the counter-drone space with the growing capabilities of its Dedrone offerings and Artificial Intelligence (AI)-powered command-and-control platform. In January 2024, the company acquired Fusus, a leader in real-time crime center technology. The buyout combined Fusus' real-time situational awareness expertise with Axon's innovative public safety technology, thereby enhancing safety and security for its customers in public places. Also, the company's acquisition of Sky-Hero (July 2023), an innovator in drones and ground-based vehicles, expanded its Axon Air portfolio, which consists of Axon's drone software and hardware portfolio.

- The company remains focused on **strategic collaborations** with other companies to expand its product offerings and customer base. In October 2025, Axon's Dedrone business announced its partnership with TYTAN (a leading provider of interceptor systems for Group 3 drones) to boost detection, identification and mitigation capabilities of counter drone equipment. The integration of TYTAN's kinetic interceptor technology enhances Dedrone's CUAS mitigation capability, making it suitable to deploy against Group 3 threats. In June 2024, Axon entered into a partnership with Skydio (a leading U.S. drone manufacturer) to introduce a comprehensive line of drones in public safety that includes a scalable Drone as First Responder (DFR) solution. The offering incorporates autonomous drones, onsite docking stations and integrated flight control solutions from Skydio and real-time operations, real-time crime center capabilities and evidence management solutions from Axon. The combined offering will support Axon's DFR programs across its customer base and strengthen its market position in this category. In addition, Axon continues to invest in and support DroneSense, an Axon ecosystem partner and leading provider of Drone software. Its worth noting that in second-quarter 2025, Axon secured the largest deal in the company's history with a U.S. city police department. This contract marked the highest new product bookings that included drones, AI products and others.

- Axon's **investments** in automation, research and development and improvement of manufacturing efficiency are expected to drive its margin performance. Improving supply chains and the growing adoption of new products by customers bode well for it. In the first nine months of 2025, Axon's adjusted EBITDA margin increased to 25.5% from 25% in the year-ago period. For 2026, Axon expects an adjusted EBITDA margin of approximately 25.5%.

Reasons To Sell:

- The **escalating costs and expenses** are a concern for Axon's bottom line. The company's cost of sales increased 18.2%, 34.4%, 32.7% and 46.3% in the first, second, third and fourth quarters of 2025, respectively, on a year-over-year basis. In 2025, Axon's cost of sales soared 33.3% year over year. The metric, as a percentage of sales, was 42.1% in the fourth quarter of 2025, up 220 basis points year over year. The company incurred high costs and expenses related to business integration activities, an increase in headcount and higher wages and stock-based compensation expenses. Axon's selling, general and administrative expenses surged 48%, 41.7%, 31.5% and 39.8% in the first, second, third and fourth quarters of 2025, respectively, on a year over year basis. The same rose 39.8% year over year in 2025. Increasing costs and expenses, if not controlled, are likely to hurt the company's bottom line in the quarters ahead. Despite the recent signs of easing, lingering supply-chain disruptions have the potential to impede the company's growth. Also, abrupt changes to domestic and international regulations of imports and exports of components in the supply chain may delay final product supplies.

Escalating cost of sales and headwinds from foreign exchange translation are likely to hamper the company's growth.

- Axon has been facing the pressure of **rising debt levels**. Exiting the fourth quarter of 2025, the company's long-term notes payable (net) were $1.73 billion. The same stood at zero at 2024-end. This increase was primarily due to funds raised to support the company's strategic investments, expansion activities and potential acquisitions. Considering its high debt level, its cash and cash equivalents of $1.20 billion do not look impressive. Also, Axon's interest expense totaled $94.2 million in 2025, reflecting a notable increase from $7.1 million in the year-ago period. High debt levels can increase its financial obligations and prove detrimental to profitability in the quarters ahead.

- Axon's international presence keeps the company exposed to the risk of **adverse currency fluctuations**. This is because a strengthening U.S. dollar may require the company to either raise prices or accept margin contraction in locations outside the U.S. Thus, adverse currency movements are a risk for the company.

Last Earnings Report

Axon's Q4 Earnings Top Estimates, Connected Devices' Sales Increase Y/Y

FY Quarter Ending	12/31/2025
Earnings Reporting Date	**Feb 24, 2026**
Sales Surprise	**5.72%**
EPS Surprise	**28.74%**
Quarterly EPS	**2.15**
Annual EPS (TTM)	**6.85**

Axon reported fourth-quarter 2025 adjusted earnings of $2.15 per share, which beat the Zacks Consensus Estimate of $1.67. The bottom line increased 3.4% year over year.

Total revenues of $797 million surpassed the consensus estimate of $753.6 million and increased 39% year over year. The top line benefited from strong demand for TASER 10, Axon Body 4 and counter-drone equipment. Growing adoption of premium software solutions also augmented the top-line results.

In 2025, it reported net revenues of $2.78 billion, which increased 33.5% year over year. The company's adjusted earnings were $6.85 per share, up 15.3% on a year-over-year basis.

Q4 Business Segment Performance

Effective first-quarter 2025, Axon realigned its business segments. The company now reports results under two business segments, namely Connected Devices and Software & Services.

Connected Devices: The segment's revenues jumped 37.6% year over year to $454.2 million, driven by an increase in demand for TASER 10 devices, Axon Body 4, counter-drone products and fleet systems. However, the adjusted gross margin decreased year over year to 49.3% from 52.2%. The Zacks Consensus Estimate for Connected Devices' revenues was pegged at $417 million.

Software & Services: The segment's revenues rose 39.8% year over year to $342.5 million. The uptick was driven by an increase in the aggregate number of users and growing adoption of premium software offerings. However, the adjusted gross margin decreased to 76.7% from 78% in the year-ago period. The Zacks Consensus Estimate for Software & Services' revenues was pegged at $336 million.

Margin Profile

Axon's cost of sales increased 46.3% year over year to $335.4 million. Selling, general and administrative expenses increased 39.8% year over year to $317.4 million.

Total operating expenses climbed 41.1% year over year to $511.4 million. The adjusted gross margin decreased to 61.1% from 63.2% in the year-ago period, owing to global tariff-related impacts and a higher Platform Solutions product mix in Connected Devices.

Balance Sheet & Cash Flow

At the end of fourth-quarter 2025, Axon had cash and cash equivalents of $1.20 billion compared with $454.8 million at December 2024-end. Long-term lease liabilities totaled $98.9 million compared with $41.4 million at 2024-end.

In 2025, the company generated net cash of $211.3 million from operating activities compared with $408.3 million in the previous year period.

Adjusted free cash flow was $85.6 million in 2025 compared with $344.3 million in the prior-year period.

Outlook for 2026

For 2026, Axon expects revenues to grow 27-30% year over year. Adjusted EBITDA margin is expected to be 25.5%.

The company expects capital expenditures to be between $185 million and $215 million. This includes investments in long-term research & development projects, continued capacity expansion, global facility build-outs and new product development. It anticipates stock-based compensation expenses to be $230 million.

Outlook for 2028

In 2028, Axon anticipates achieving revenues of $6 billion annually. Adjusted EBITDA margin is projected to be about 28%. The company aims to generate strong cash flow, with adjusted free cash flow equal to 60% of adjusted EBITDA. It plans to limit annual dilution from stock-based compensation to less than 2.5%.

Recent News

Acquisition Deal — Nov. 4, 2025

Axon signed a definitive deal to acquire Carbyne, a well-known provider of cloud contact center technology solutions to public safety agencies. The acquisition will integrate Carbyne's advanced cloud-native 911 technology into the Axon ecosystem to create Axon 911, a state-of-the-art, fully integrated solution that will connect callers and responders instantly. The transaction, valued at $625 million, is expected to be completed in first-quarter 2026.

AXON's Partnership With TYTAN — Oct 14, 2025

Axon entered into a partnership with TYTAN to boost detection, identification and mitigation capabilities of counter drone equipment. The integration of TYTAN's kinetic interceptor technology enhances Dedrone's CUAS mitigation capability, making it suitable to deploy against Group 3 threats.

Valuation

Axon's shares are up 0.5% and 8.4% in the year-to-date period and over the trailing 12-month period, respectively. While stocks in the Zacks sub-industry are up 15% in the year-to-date period, while those in the Zacks Aerospace sector are up 14.1%. Over the past year, the Zacks sub-industry and the sector are up 49.3% and up 41.3% respectively.

The S&P 500 index is up 0.1% and up 21.8% in the year-to-date period and over the past year, respectively.

The stock is currently trailing at 582.1X trailing 12-month price-to-earnings, which compares to 57.25X for the Zacks sub-industry, 52.5X for the Zacks sector and 25.92X for the S&P 500 Index.

Over the past five years, the stock has traded as high as 654.6X, with a 5-year median of 126.7X. Our Neutral recommendation indicates that the stock will perform in line with the market. Our $605 price target reflects 611.21X trailing 12-month earnings.

The table below shows summary valuation data for AXON

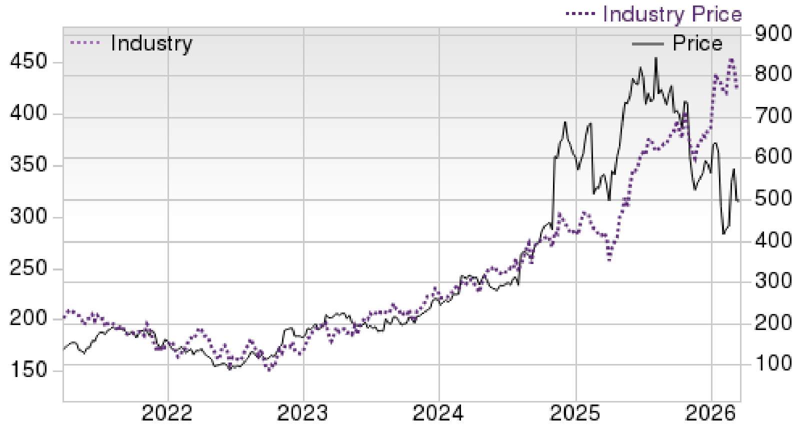
Valuation Multiples - AXON

		Stock	Sub-Industry	Sector	S&P 500
P/E TTM	Current	582.1	57.25	52.5	25.92
	5-Year High	654.6	57.25	74.93	28.08
	5-Year Low	NA	30.2	28.87	16.74
	5-Year Median	126.7	39.93	35.76	23.32
P/Sales TTM	Current	17	15.95	3.6	5.82
	5-Year High	29.96	16.69	3.65	6.16
	5-Year Low	6.6	4.74	1.52	4
	5-Year Median	13.27	7.77	2.34	5.35

As of 03/05/2026 *Source: Zacks Investment Research*

Industry Analysis[1]

Zacks Industry Rank: Top 36% (89 out of 244)



Top Peers [1]

Company (Ticker)	Rec	Rank
Alarm.com Holdings, ...**(ALRM)**	Neutral	3
Cadre Holdings, Inc. **(CDRE)**	Neutral	3
Intellicheck Mobilis...**(IDN)**	Neutral	1
Johnson Controls Int...**(JCI)**	Neutral	2
MSA Safety Incorporp...**(MSA)**	Neutral	3
VERRA MOBILITY CORP **(VRRM)**	Neutral	3
CLEAR Secure, Inc. **(YOU)**	Neutral	2
Brady Corporation **(BRC)**	NA	

Industry Comparison[1]

Industry: Aerospace - Defense Equipment

Industry Peers

	AXON	X Industry	S&P 500	ALRM	BRC	MSA
Zacks Recommendation (Long Term)	Neutral	-	-	Neutral	NA	Neutral
Zacks Rank (Short Term)	3	-	-	3		3
VGM Score	D	-	-	C		C
Market Cap	34.57 B	9.01 B	38.90 B	2.11 B	3.81 B	6.41 B
# of Analysts	8	3	22	3	1	5
Dividend Yield	0.00%	0.00%	1.52%	0.00%	1.21%	1.28%
Value Score	F	-	-	B		C
Cash/Price	0.04	0.03	0.04	0.44	0.05	0.03
EV/EBITDA	176.01	23.53	13.42	6.94	13.15	14.52
PEG Ratio	2.13	2.36	1.76	1.19	NA	NA
Price/Book (P/B)	10.46	4.71	3.29	2.50	2.90	4.75
Price/Cash Flow (P/CF)	182.30	25.39	13.72	12.34	14.51	16.87
P/E (F1)	52.95	34.41	17.87	15.21	15.99	18.90
Price/Sales (P/S)	12.44	4.21	3.01	2.09	2.43	3.42
Earnings Yield	1.89%	2.78%	5.59%	6.57%	6.26%	5.29%
Debt/Equity	0.53	0.31	0.56	0.58	0.06	0.42
Cash Flow ($/share)	2.36	2.06	9.62	3.44	5.56	9.80
Growth Score	C	-	-	D	NA	C
Hist. EPS Growth (3-5 yrs)	2.84%	21.82%	7.51%	9.24%	15.03%	16.53%
Proj. EPS Growth (F1/F0)	18.54%	23.96%	9.87%	6.49%	NA	10.21%
Curr. Cash Flow Growth	-12.40%	23.68%	7.92%	21.36%	11.77%	3.98%
Hist. Cash Flow Growth (3-5 yrs)	50.54%	15.33%	8.87%	10.61%	14.04%	12.14%
Current Ratio	2.53	2.73	1.19	1.92	2.13	3.01
Debt/Capital	34.79%	26.15%	38.05%	38.57%	5.66%	29.52%
Net Margin	4.48%	6.56%	12.73%	13.11%	13.01%	14.88%
Return on Equity	2.82%	10.39%	17.16%	14.79%	18.62%	24.48%
Sales/Assets	0.43	0.62	0.53	0.48	0.89	0.76
Proj. Sales Growth (F1/F0)	28.30%	9.65%	5.59%	4.80%	NA	6.00%
Momentum Score	B	-	-	D		B
Daily Price Chg	-4.56%	-2.03%	-1.67%	-1.67%	-1.69%	-1.45%
1 Week Price Chg	0.02%	-3.17%	-3.60%	-4.78%	-4.98%	-4.00%
4 Week Price Chg	-21.86%	-13.83%	-7.82%	-12.73%	-12.27%	-15.69%
12 Week Price Chg	-24.30%	1.27%	-6.96%	-16.72%	3.01%	3.20%
52 Week Price Chg	-21.92%	50.88%	11.87%	-26.22%	12.77%	8.80%
20 Day Average Volume	859,044	407,106	3,196,808	443,765	220,676	190,005
(F1) EPS Est 1 week change	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
(F1) EPS Est 4 week change	12.03%	0.00%	0.00%	0.00%	0.00%	0.00%
(F1) EPS Est 12 week change	5.67%	1.56%	0.47%	4.67%	0.50%	1.12%
(Q1) EPS Est Mthly Chg	-74.71%	0.00%	0.00%	-2.78%	NA	0.00%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	F
Growth Score	C
Momentum Score	D
VGM Score	F

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

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